Pre-entry Risk-path Matching: Sample Intersection

Baseline weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.005	-0.008	0.030	-0.060
	(0.061)	(0.012)	(0.091)	(0.115)
p	0.9366	0.5054	0.7378	0.6070
Observations	756	756	756	756

Baseline weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.062	-0.032	-0.055
	(0.079)	(0.134)	(0.079)
p	0.4362	0.8129	0.4857
Observations	756	756	756

Pre-entry risk-path weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.006	-0.008	0.022	-0.059
	(0.063)	(0.012)	(0.090)	(0.118)
p	0.9276	0.5079	0.8110	0.6162
Observations	756	756	756	756

Pre-entry risk-path weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.062	-0.041	-0.055
	(0.080)	(0.134)	(0.080)
p	0.4401	0.7608	0.4910
Observations	756	756	756

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.